A RESOLUTION ADOPTING THE RULES ON THE GAS AUCTION THRESHOLD PRICE DETERMINATION METHODOLOGY, GAS PRICE BENCHMARK, AND SETTLEMENT MECHANISM FOR THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM UNDER DEPARTMENT OF ENERGY DEPARTMENT CIRCULAR NO. DC2026-06-0013

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Page / Section Number	**Discussion of Comment(s) and/or Questions for Clarification**	**Comment/s and Suggestion/s**
Page 10 / Section 6 – Facility Types and Applicable GAT Prices	While the draft rules identify eligible facility types (CCGT, OCGT, gas-reciprocating engines, and other gas-fired technologies), no minimum operational flexibility requirements are specified for facilities intended to serve the mid-merit operating profile. As mid-merit resources are	**Recommend establishing minimum technical flexibility requirements** applicable to all eligible facilities, including: minimum stable load, start-up time,

	expected to support system flexibility, renewable energy integration, and varying dispatch patterns, the absence of minimum technical performance standards may result in significantly different operational capabilities being evaluated on an equivalent basis.	ramp rate, minimum uptime, minimum downtime. These parameters would provide greater transparency into the operational value delivered by auction participants and ensure that awarded facilities can meet the intended mid-merit system requirements.
Page 1 / Annex A, Item A.3 – Reference All-in Project Costs	The draft rules reference historical project costs for existing Philippine CCGT facilities and appear to adopt an indicative brownfield benchmark of approximately US$600/kW, with subsequent assumptions of 50% of this value for OCGT and 70% for gas-reciprocating engines. However, this value is **substantially below** current market prices and does not reflect present-day EPC costs, financing conditions, equipment pricing, grid interconnection requirements, and inflationary pressures affecting new gas-fired generation projects.	**Recommend updating the Reference All-In Project Cost assumptions using current market data.**